

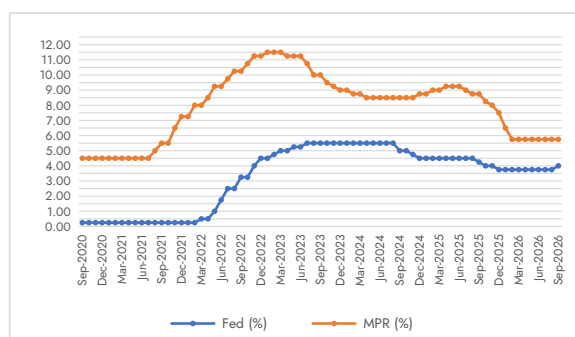
The BCU's Dilemma

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Officials at Uruguay's central bank, the BCU, periodically hold a meeting known as the COPOM, whose primary purpose is to set the monetary policy rate (MPR) in light of the macroeconomic situation, the outlook and strategic guidelines — inflation being a highly sensitive issue, as is boosting economic activity. The United States has an identical arrangement: the meeting is called the FOMC, and the rate it sets is the famous “Fed Funds,” with the same objectives of overseeing prices and activity.

Both rates are key in setting the yield on short-term financial instruments in each country and its respective currency. In Uruguay's case, the influence is on peso-denominated Monetary Regulation Bills (LRM) with maturities of up to two years; in the United States, it is on dollar T-Bills of up to one year.

The Uruguayan peso is an insignificant currency on the world stage, and the decisions taken by the BCU and the COPOM are equally irrelevant — except for those of us Uruguayans who live in Uruguay, because they directly affect inflation and, as we will see below, indirectly the value of the dollar.



After COVID, Uruguay began raising the MPR in anticipation of inflationary pressures, and the United States followed later, as the chart shows. The hikes had to be forceful because an overly expansionary policy had been pursued (worldwide) to confront the health crisis. Note in the chart that at the last FOMC meeting the Fed Funds rate rose by a quarter point to 4%.

The Link Between LRMs and the Dollar

Uruguay is an investment-grade country that offers a yield premium on peso investments relative to US-dollar alternatives. That differential, expressed in basis points (bps), can be measured simply as the difference between the MPR and the Fed Funds rate.

When the differential is high and, at the same time, the market perceives a low risk of peso depreciation, many investors are tempted to sell dollars and move into pesos — for example, through LRMs, the ideal instrument for capturing that rate differential. That demand for pesos and supply of dollars in turn puts downward pressure on the exchange rate. In financial jargon, this strategy is known as the *dollar/peso carry trade*: sell dollars, buy pesos and earn the attractive rate differential on LRMs, on the assumption that the exchange rate will remain stable or that the peso may even appreciate.

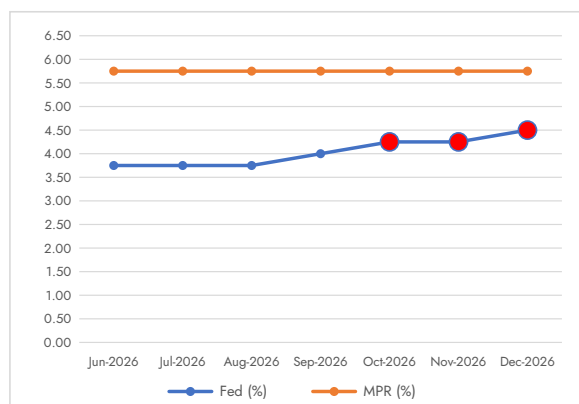
In September 2025, the differential reached approximately 450 bps. Put simply, while a dollar investment yielded around 4.25%, a peso investment could offer close to 8.75%, plus the favorable effect of a “certain guarantee or certainty” that the dollar would not rise — precisely because of the massive selling of dollars in the foreign-exchange market. A gap of this magnitude is very attractive to financial capital, and it generated significant flows into the peso.

Keeping rates so high exerted strong pressure on the exchange rate, pushing the peso to levels that, by January 2026, began to raise concern about the growing overvaluation of the currency and its impact on the export sector. The response was an abrupt 1% cut in the MPR, aimed at reducing the appeal of the carry trade and tempering the peso's appreciation. Even after that cut, however, the rate differential remained around 275 bps, so the incentive to keep pursuing this carry-trade strategy was still in place. Clearly, the government “gave away yield” in earlier periods and has been gradually trimming that premium while closely watching whether market participants kept rolling over their LRMs or chose to return to the dollar. The reality is that, for the peso surpluses of banks, pension fund

managers (AFAPs), companies and individuals, the only liquid short-term asset available is the LRM, so the instrument enjoys steady demand even though the premium is shrinking significantly.

The Outlook for Fed Funds

My own projection for the Fed Funds rate through year-end envisages two further hikes, one in October and another in December (red dots in the chart), which would take the rate to 4.50%. Assuming the COPOM keeps the MPR at 5.75% — where the BCU has held it since February 2026 — the spread could narrow to 125 bps, a historically very low level. In other words, the premium for investing in pesos rather than dollars would be a mere 1.25% over a base dollar yield of 4.50%.



The question COPOM members must be asking themselves is whether the financial players mentioned above are willing to take on the risk of investing in Uruguayan pesos for a premium of just 1.25%. Isn't that too meager a premium to compensate for currency risk?

The Dilemma

With all of the above in mind, the dilemma facing the BCU is what to do with the MPR: raise it to 6% in October to roughly keep pace with the coming Fed Funds hikes and preserve the spread — and with it the appeal of the dollar/peso carry trade — hold it at 5.75%, or even cut it to 5.50%.

Why do I say the BCU faces a dilemma? Because raising the rate makes domestic money costlier, slowing consumption, investment and economic activity. If activity contracts again next quarter — and I have not the slightest doubt that it will — Uruguay will enter what is known as a technical recession. From the standpoint of activity, the logical move would be to cut the MPR; from the standpoint of defending the carry trade's appeal, it would be necessary to raise it.

A stronger dollar would be good news for the export sector, but it would later bring inflationary pressures, since Uruguay is a highly dollarized economy. The problem is the speed of the adjustment. If the BCU does nothing, with a spread that could shrink to just 1.25%, this meager differential could lead some traders to consider unwinding their carry-trade positions.

In that case, they would not roll over their LRMs and would sell their pesos to buy dollars. In any event, as I noted earlier, LRMs have a captive local demand, even though the outstanding stock is around US\$10 billion (in pesos). What worries me more is a possible "contagion from unwinding the dollar/peso carry trade" that could hit the market for securities denominated in UI (inflation-indexed units), which does have heavy investment from international players, as well as from domestic banks that hold substantial positions.

Just as building up the carry trade pushed the dollar sharply lower, unwinding it has the opposite effect, pushing the dollar higher with the same force.

It is vital for the carry trade to continue in order to safeguard this "living on borrowed money" economic model — that is, having to place some US\$7 billion in new debt every year to finance the fiscal deficit and the interest on previous debt. In other words, the Uruguayan peso, and the soundness and security of the Uruguayan financial system, must retain their international appeal and continue to inspire confidence among investors.

In short, the BCU faces two opposing risks: raising the MPR to sustain the carry trade, at the cost of putting the brakes on an already weakened economy; or holding it — or even cutting it — and accepting the risk of a carry-trade unwind, while lowering the cost of money to confront the looming recession.

In a few months we will have the answer, from both the BCU and market participants. ■

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